

in California and so CalPERS is forced to outsource more active management, with fewer savings for California state workers.³⁵ A similar problem is that a board may give an investment manager a mandate for active management, but without giving sufficient resources to pursue that goal, the board sets up the agent to fail. There must be consistency in the goals for both the principal and the agent.

Set Clear Boundaries

There should be bright lines between what the board (principal) does and what the manager (agent) does.

At CPPIB, the division of responsibility between the board and management is clear. The board sets the Reference Portfolio—the factor risk decision—and management takes responsibility for any deviation from it in trying to beat the Reference Portfolio benchmark. The board sets constraints on how much deviation is possible from the Reference Portfolio, consistent with constraints being part of the optimal contract in Section 3.4, with other constraints on the portfolio holdings. CPPIB's structure allowed management to put in place human resource policies that supported the execution of this strategy, including a compensation system that is performance based and allows CPPIB to attract talented people. These human resource policies could be justified in the context of the Reference Portfolio—if CPPIB's active management outperformed the passive Reference Portfolio, net of costs, these policies add value.

NZSF also has a clear division of responsibilities between the Board of Guardians (principal) and management (agent). Like CPPIB, the board does not make investment decisions. The Guardians set investment policy, decide on an appropriate level of risk, approve and monitor investment strategies, appoint the custodians, and deal with other oversight matters but leave investment decisions to management. Management advises the Guardian Board on investment policy and implements the agreed investment strategies.

Avoid Ad-Hoc Modifications to Long-Term Strategy

Many ad hoc responses induce pro-cyclical behavior.

During the financial crisis from 2007 to 2009, many boards resorted to panic selling and abandoned rebalancing. CalPERS' equity portfolio shrank from more than \$100 billion in 2007 to just \$38 billion in 2009.³⁶ Stock lending blew up and CalPERS sold equities to raise cash. CalPERS also sold stocks to meet its commitments to private equity and real estate partners. The CalPERS board became skittish. The forced selling occurred at precisely the wrong time, when prices were

³⁵ "Maple Revolutionaries: Canada's Public Pension Funds Are Changing the Deal-Making Landscape," *The Economist*, March 3, 2012, p. 86.

³⁶ This material is drawn from "California Dreamin': The Mess at CalPERS," Columbia CaseWorks ID#120306, 2012.